

## NSE IFSC Clearing Corporation Limited

September 04, 2026

| Facilities/Instruments | Name of the Regulator <sup>1</sup> | Amount (₹ crore) | Rating <sup>2</sup> | Rating Action |
|------------------------|------------------------------------|------------------|---------------------|---------------|
| Issuer rating          | -                                  | 0.00             | CARE AAA; Stable    | Reaffirmed    |

Details of instruments/facilities in Annexure-1.

**Issuer Ratings:** There is no instrument being rated and hence, Regulator of the Instrument is not applicable. The rating scale and definitions are being followed as stipulated in SEBI Master Circular for CRAs.

### Rationale and key rating drivers

Issuer rating of NSE IFSC Clearing Corporation Limited (NSEICC) continues to be supported by its strong parentage and linkages with the National Stock Exchange of India Limited (NSE) group, which extends managerial, financial, and technology support to the company. The issuer rating also factors in the expectation of continued support from the NSE group, considering NSEICC's strategic importance to the group, shared brand association, and presence in Gujarat International Finance Tec-City. The rating takes cognisance of the revenue-sharing arrangement between NSEICC and NSE International Exchange NSE IFSC Ltd. (NSE IX).

Issuer rating also factors in the presence of an adequate risk management framework, a well-defined default waterfall mechanism, and an adequate Core Settlement Guarantee Fund (Core SGF).

However, the issuer rating remains constrained by NSEICC's relatively modest revenue scale and profitability metrics, and the inherent sensitivity of business volumes to capital market activity. The rating also takes note of prevailing global macroeconomic uncertainties, including trade and tariff-related disruptions, and global oil crisis, among others, and their potential impact on NSEICC's turnover volumes, which will remain a key monitorable for its performance.

### Rating sensitivities: Factors likely to lead to rating actions

**Positive factors:** Factors that could individually or collectively lead to positive rating action/upgrade:

Not applicable

**Negative factors:** Factors that could individually or collectively lead to negative rating action/downgrade

- Deterioration in the credit profile of the NSE.
- Reduction in the shareholding of the NSE group in the company below 51%.
- Weakening in the expected support from NSE group.

### Analytical approach:

Standalone, along with factoring in the strong linkages with its ultimate parent, NSE (NSEICC is a step-down subsidiary of NSE, being a 100% subsidiary of NSE IX) deriving significant support in terms of technology, system and process development from the NSE group.

**Outlook:** Stable

The 'stable' outlook considers continued support from the NSE group.

<sup>1</sup>SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority

<sup>2</sup>Complete definitions of the ratings assigned are available at [www.careratings.com](http://www.careratings.com) and in other CARE Ratings Limited's publications.

## Detailed description of key rating drivers

### Key strengths

#### **Strong parentage with support in the form of shared brand name, managerial, technological, and other infrastructure**

NSEICC derives significant strength from its strong parentage, being a wholly owned subsidiary of NSE IX, which in turn is a 100% subsidiary of the NSE. The company remains strategically important to the NSE group and benefits from strong operational, technological, managerial, and financial linkages with its parent entities. NSEICC's role in supporting the group's international clearing operations, and continued access to shared technology infrastructure, established risk management frameworks, and the widely recognised NSE brand, underpins the expectation of continued support from the group, if required.

Incorporated in 1992, NSE was recognised as a stock exchange by the Securities and Exchange Board of India (SEBI) in April 1993 and commenced operations in 1994 across the cash market and wholesale debt market segments. NSE continues to maintain a dominant position in the Indian capital market ecosystem, with market shares (by turnover) of ~92.99% in the equity cash segment, 99.79% in equity futures (based on total turnover), 74.71% in equity options (based on premium turnover), 99.48% in exchange-traded currency futures (based on total turnover), 100.00% for exchange-traded currency options (based on total premium turnover), as on March 31, 2026. On a consolidated basis, profit after tax (PAT) stood at ₹10,302.06 crore in FY26 (₹12,187.69 crore in FY25).

#### **Experienced board of directors and management**

The Board consists of four Public Interest Directors and two Non-Independent Directors. The Board is chaired by Kumar Kanakasabapathy, former Managing Director & Chief Executive Officer of Indian Clearing Corporation Limited, who brings significant experience in the clearing and settlement ecosystem. The Board is further strengthened by Independent Directors possessing extensive experience across diverse domains, including the Indian Administrative Service (IAS), academia, capital markets, finance, technology and risk management. CARE Ratings Limited (CareEdge Ratings) notes the presence of a nominee of the parent entity, NSE Ltd. and NSEIX Ltd, on the Board through Piyush Chourasia and Gautam Singhania respectively, who serves as a Shareholder Director (Non-Independent Director), ensuring alignment with the group's strategic objectives.

The company's day-to-day operations are overseen by an experienced management team led by Neeraj Kulshrestha, Managing Director & Chief Executive Officer, who possesses over three decades of experience in the financial services and capital market domains. He is supported by a qualified senior management team, including Vivek Singhvi, Chief Risk & Regulatory Officer and Compliance Officer, who is responsible for overseeing the company's risk management and regulatory compliance functions. The key management personnel collectively possess extensive experience, predominantly across capital markets, clearing, settlement, and risk management functions, supporting the company's operational effectiveness and risk governance framework.

#### **Strong regulatory supervision**

The regulatory framework governing NSEICC remains supportive of its operations and business profile. The Government of India established the International Financial Services Centres Authority (IFSCA) as a unified regulator for entities operating within the International Financial Services Centre (IFSC), providing a comprehensive and streamlined regulatory framework across financial sector activities. The single-regulator structure facilitates ease of doing business, enhances regulatory coordination, and supports the development of the IFSC ecosystem in line with global standards. Since October 1, 2020, NSEICC has been regulated by the IFSCA. The introduction of the IFSCA (Market Infrastructure Institutions) Regulations, 2021, has provided a well-defined regulatory framework for market infrastructure institutions, including exchanges, clearing corporations, and depositories operating within the IFSC. The regulations are broadly aligned with international best practices and are expected to strengthen the competitiveness, operational resilience, and growth prospects of IFSC-based market infrastructure institutions.

Under the IFSCA (Market Infrastructure Institutions) Regulations, 2021, the minimum net worth requirement for a clearing corporation is USD 3 million, against which NSEICC has a net worth of USD 21.61 million as on March 31, 2026 per IFSCA's computations (includes SGF of USD 5.6 million).

#### **Adequate risk management in adherence to global benchmarks**

NSEICC has established a robust risk management framework that is aligned with the Principles for Financial Market Infrastructures (PFMI) issued by the Committee on Payments and Market Infrastructures (CPMI) and the International Organization of Securities Commissions (IOSCO). The company's risk management practices are broadly in line with those adopted by leading global central counterparties (CCPs) and domestic clearing corporations operating under the CPMI-IOSCO framework.

As the central counterparty for trades executed on NSE IX, NSEICC is exposed to operational, credit, and liquidity risks arising from its clearing and settlement activities. To mitigate these risks, the company has implemented a comprehensive risk containment framework comprising stringent membership eligibility criteria, capital adequacy requirements for clearing members, continuous monitoring of member performance, risk-based margining mechanisms, position limits, real-time surveillance of member exposures, and automated controls to restrict trading activity upon breach of prescribed risk thresholds.

The company's risk management architecture is anchored by three key pillars: upfront collection of margins in the form of eligible collateral, client-level margining without offsetting across clients, and real-time computation and monitoring of margins and positions at the client level. NSEICC employs a comprehensive risk-based margining framework to cover its credit exposure to participants across product segments. The framework incorporates prudent risk parameters, including a risk reduction mode of 85%, and is subject to periodic review to ensure its continued effectiveness in line with evolving market dynamics and regulatory requirements.

NSEICC has also put in place a well-defined framework for the selection and admission of clearing members and clearing banks, with a focus on maintaining a strong risk profile across market participants. The framework prescribes stringent eligibility criteria relating to financial strength, operational capabilities, technological infrastructure, and regulatory compliance. The company admits members across different categories, each subject to stipulated minimum tangible net worth and other qualification requirements, supporting a prudent participant base and strengthening the overall resilience of its clearing and settlement ecosystem.

#### **Well-defined default waterfall and adequate settlement guarantee fund**

NSEICC has established a well-defined default management framework, aligned with international best practices, to address potential losses arising from member defaults. The company maintains a dedicated default fund that is readily available to meet settlement obligations in the event of a clearing member default, with its adequacy being assessed through daily stress testing. As of March 2026, the default fund stood at US\$5.6 million, significantly higher than the regulatory minimum requirement of US\$1 million. NSEICC has reported no member defaults since inception, reflecting the effectiveness of its risk management and surveillance framework.

#### **Incentives and tax benefits provided to entities in IFSC**

NSEICC and NSE IX are situated within the IFSC at GIFT City, Gandhinagar, which has been designated as a special economic zone (SEZ). In accordance with applicable regulations, entities operating within the SEZ are eligible for tax benefits and incentives. These concessions are intended to promote trading activity and attract global investors by enhancing the competitiveness of the IFSC on an international scale.

#### **Key weakness**

##### **Weak profitability track record, albeit improving**

NSEICC's financial profile witnessed improvement in FY26, supported by better cost absorption and operating efficiencies. The company reported a profit of ₹1.34 crore on a total income of ₹27.11 crore in FY26, compared to a loss of ₹5.13 crore on a total income of ₹27.08 crore in FY25. Revenue is primarily derived from clearing and settlement (C&S) charges, membership-related fees, and investment income. C&S income is received from NSE IX under a revenue-sharing arrangement where exchange shares revenue generated from trades executed on its platform. While the income profile remained largely stable, profitability benefited from improved control over operating expenses.

#### **Liquidity: Strong**

The liquidity position of NSEICC remained comfortable as on March 31, 2026, supported by nil debt obligations and cash and bank balance of ₹258.34 crore up from ₹171.77 crore as on March 31, 2025. The company's overall gearing stood at nil as on March 31, 2026, reflecting a strong capital structure.

NSEICC has established a dedicated SGF, which amounted to US\$ 5.53 million as on March 31, 2026, well above the minimum requirement of US\$ 1 million. This fund is readily and unconditionally available to meet settlement obligations in the event of a clearing member's default. The adequacy of the SGF is subject to daily stress testing to ensure its effectiveness in managing potential settlement risks.

## Applicable criteria

[Definition of Default](#)

[Notching by Factoring Linkages in Ratings](#)

[Rating Outlook and Rating Watch](#)

[Financial Ratios - Financial Sector](#)

[Service Sector Companies](#)

[Issuer Rating](#)

## About the company and industry

### Industry classification

| Macroeconomic indicator | Sector             | Industry        | Basic industry                                         |
|-------------------------|--------------------|-----------------|--------------------------------------------------------|
| Financial services      | Financial services | Capital markets | Depositories, clearing houses and other intermediaries |

### About NSEICC

NSEICC was incorporated on June 05, 2017, as a qualified central counterparty acting as a clearing corporation for the transactions executed on NSE IX, established at IFSC, GIFT City. NSEICC provides counterparty guarantee for the trades executed on NSE IX to ensure the efficient clearing and settlement for trades. NSEICC is a wholly owned subsidiary of NSE IX, established by the NSE. It has adopted best practices and principles and adopted the CPMI IOSCO Principles for Financial Market Infrastructures (PFMIs).

| Brief Financials (₹ crore)              | March 31, 2024 (A) | March 31, 2025 (A) | March 31, 2026 (A) |
|-----------------------------------------|--------------------|--------------------|--------------------|
| Total income                            | 16.65              | 27.08              | 27.11              |
| PAT                                     | -8.40              | -5.13              | 1.34               |
| Total Tangible Assets                   | 216.32             | 281.99             | 327.01             |
| Tangible net worth (including Core SGF) | 186.89             | 194.95             | 224.96             |
| Overall gearing (times)                 | Nil                | Nil                | Nil                |
| RONW (%)                                | -7.66              | -2.69              | 0.64               |

A: Audited; Note: these are latest financial results available #NM: Not meaningful

### Status of non-cooperation with previous CRA:

Not applicable

### Any other information:

Not applicable

**Rating history for last three years:** Annexure-2

**Detailed explanation of covenants of rated instrument / facility:** Annexure-3

**For complexity level of instruments rated refer to Annexure-1**

**Lender details:** Annexure-4

### Disclosure on facilities/instruments and name of the regulators:

A list of facilities / instruments falling under the purview of various financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

[https://www.careratings.com/activities\\_and\\_regulators](https://www.careratings.com/activities_and_regulators)

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

**Annexure-1: Details of instruments/facilities**

| Name of the Instrument       | Name of the Regulator | Complexity Level | ISIN | Date of Issuance (DD-MM-YYYY) | Coupon Rate (%) | Maturity Date (DD-MM-YYYY) | Size of the Issue (₹ crore) | Rating Assigned and Rating Outlook |
|------------------------------|-----------------------|------------------|------|-------------------------------|-----------------|----------------------------|-----------------------------|------------------------------------|
| Issuer Rating-Issuer Ratings | -                     | -                | -    | -                             | -               | -                          | 0.00                        | CARE AAA; Stable                   |

**Annexure-2: Rating history for last three years**

| Sr. No. | Name of the Instrument/Bank Facilities | Current Ratings |                              |                  | Rating History                              |                                             |                                             |                                             |
|---------|----------------------------------------|-----------------|------------------------------|------------------|---------------------------------------------|---------------------------------------------|---------------------------------------------|---------------------------------------------|
|         |                                        | Type            | Amount Outstanding (₹ crore) | Rating           | Date(s) and Rating(s) assigned in 2026-2027 | Date(s) and Rating(s) assigned in 2025-2026 | Date(s) and Rating(s) assigned in 2024-2025 | Date(s) and Rating(s) assigned in 2023-2024 |
| 1       | Issuer Rating-Issuer Ratings           | LT              | 0.00                         | CARE AAA; Stable | -                                           | 1)CARE AAA; Stable (05-Sep-25)              | 1)CARE AAA; Stable (09-Sep-24)              | 1)CARE AAA; Stable (14-Jul-23)              |

LT: Long term; ST: Short term; LT/ST: Long term/Short term

**Annexure-3: Detailed explanation of covenants of rated instruments/facilities**

Not applicable

**Annexure-4: Lender details**

To view lender-wise details of bank facilities please [click here](#)

**Note on complexity levels of rated instruments:** CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to [care@careedge.in](mailto:care@careedge.in) for clarifications.

## Contact us

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